

MARKET ANALYSIS

999 Raymond St. Sale: The Buyer Is Underwriting Renovation, Not Location

A local parts distributor's renovation plan reveals the underwriting margin separating investable secondary industrial from attractive stories.

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A source-grounded Light Tower Insight. The complete note follows.

Every industrial sale in a secondary market like Elgin, Illinois, begins with a question the buyer must answer before the seller will listen: what do you believe that the market does not yet see?

The sale of 95,179 square feet at 999 Raymond Street answers that question with unusual clarity. The buyer, a locally based parts distributor, is not acquiring a turnkey asset. It is acquiring a basis that leaves room for substantial renovation to both office and warehouse areas. The seller, Brennan Investment Group, is not exiting a broken asset. It is exiting a position that no longer fits its return threshold at the price a local user was willing to pay.

The facility itself is functional but not exceptional: seven dock doors, two drive-in doors, heavy power, dedicated outdoor storage. Those specs describe thousands of industrial buildings across the Chicago MSA. What distinguishes this transaction is the buyer's stated intention to invest in substantial renovations. That sentence, buried in the announcement, is the most revealing detail in the release.

A local parts distributor does not renovate for the sake of renovation. It renovates because the existing configuration does not match its operational requirements, and because the purchase price plus renovation cost still pencils below replacement cost or below the rent a landlord would demand for a similarly configured space. The buyer is underwriting a spread between what the building is and what it can become. That spread is the underwriting margin.

For Brennan Investment Group, the calculus was different. Brennan is a national industrial investor with a portfolio that demands institutional-scale returns. A 95,179-square-foot facility in Elgin, Illinois, with a tenant-in-place that may or may not renew, and a renovation budget that would consume a meaningful portion of the equity return, likely fell below Brennan's hurdle. Selling to a local user who can extract value from the renovation that a financial buyer cannot is a rational exit. Brennan is not selling because the asset is bad. It is selling because the asset's next phase of value creation belongs to an operator, not a capital allocator.

That distinction matters for every lender, sponsor, and broker watching the industrial market in 2026.

The easy thesis of the post-COVID industrial boom was that all industrial was good industrial. That thesis is now being tested by rising construction costs, higher interest rates, and a slowdown in tenant demand growth. The buildings that trade today are not the buildings that traded in 2021. They are buildings where the buyer has a specific, defensible use case that a financial buyer cannot replicate.

The underwriting margin in this deal is the renovation budget. The buyer is betting that it can spend capital on improvements and still achieve a lower occupancy cost than leasing comparable space. That is a tenant's underwriting, not an investor's. It is a bet on operational efficiency, not on cap rate compression. If the renovation costs come in on budget and the facility's configuration improves throughput, the buyer wins. If costs overrun or the improvements do not deliver the expected productivity gain, the buyer absorbs the loss. There is no institutional capital behind this bet. There is only the buyer's own balance sheet and its conviction that the building can be made to work harder.

For lenders underwriting industrial loans in secondary markets, this transaction raises a practical question: are you lending on the building as-is, or on the renovation plan? The answer determines the risk profile. A loan secured by a functional but unrenovated building in Elgin, with a local owner-occupant who has committed capital to improvements, is a different credit than a loan secured by a stabilized institutional asset. The lender must underwrite the execution risk of the renovation, not just the real estate. That requires a different skill set and a different tolerance for uncertainty.

For brokers, the transaction confirms that the market for secondary industrial is bifurcating. On one side are institutional-quality assets in primary infill locations, where capital still competes aggressively. On the other side are functional but unrenovated buildings in secondary markets, where the buyer is almost always a local user with a specific operational need. The broker who can identify that user and articulate the underwriting margin will win the listing. The broker who tries to sell the building as a generic industrial box will lose.

The sale of 999 Raymond Street is not a signal that industrial liquidity is returning to Elgin. It is a signal that liquidity is available for assets where the buyer can articulate a credible, capital-backed plan to create value that the market has not yet priced. That is a narrower definition of liquidity than most

participants would like. But it is the definition that is actually trading.

SOURCES

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<https://rebusinessonline.com/entre-commercial-realty-brokers-sale-of-95179-sf-industrial-facility-in-elgin-illinois/>

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